Economics Test -10

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Q1. The Fiscal policy achieves the macroeconomic goals by using which of the following instruments?

A. Taxes

B. SLR

C. CRR

D. Bank rate

Solution: Taxes. Fiscal policy - The policy under which the government uses the instrument of taxation, public spendi ng and public borrowing to achieve various objectives of economic policy. Components of the Fiscal Policy - Government Receipts (revenue and capital), Government Expenditure (revenue and capital) and Public Debt.

Q2. Which of the following government departments is associated with infrastructure development in India ?

A. Division of Electricity Agenda

B. Division of Economic Agenda

C. Department of Energy Affairs

D. Department of Economic Affairs

Solution: Department of Economic Affairs - It comes under the Ministry of finance. Other Functions: Responsible for the fiscal policy, Preparation of budget (Union, union territories, States under president rule) including the Railway component of budget, announces the Interest rates of small saving schemes.

Q3. The stabilization function of the government budget mainly includes ________.

A. allocation of resources

B. intervention to expand or reduce the demand

C. production of public goods

D. distribution of income in society in a fair way

Solution: Stabilization policy seeks to limit erratic swings in the economy's total output (measured by the Gross domestic product), Controlling surges in inflation or deflation. Two forms - Expansionary policy - Government moves to lower taxes or increase spending to boost the economy. Contractionary policy is when the Government increases taxes or reduces spending to slow the economy and reduce inflation. Government budget : Projection of th e government's revenues and expenditure for a financial year (1 s t April - 31 s t March).

Q4. Which measure(s) is the Reserve Bank most likely to take to comb at inflation in the economy? A) Increase repo rate B) Increase money supply C) Decrease cash reserve ratio

A. Only A

B. Both B and C

C. Only B

D. Both A and C

Solution: Only A . Monetary measures used to control inflation - Bank rate policy, Cash Reserve Ratio (CRR), Open Market Operations. Fiscal Measures - Include taxation, government expenditure and public borrowings, Protectionist measures (such as banning the export of essential items such as pulses, cereals and oils to support domestic consumption, encouraging imports by lowering duties on import items).

Q5. Which type of loan is supported by MUDRA?

A. Corporate loan

B. Real estate loan

C. Non-farm loan

D. Primary loan

Solution: Non-farm loan. MUDRA (Micro Units Development & Refinance Agency Ltd) was set up by the Government of India under the Pradhan Mantri MUDRA Yojana (PMMY). Launched by the Prime Minister on April 8, 2015, PMMY aims to empower non-corporate, non-farm small and micro enterprises by providing loans of up to ₹10 lakh (extended to ₹20 lakh in the Union Budget 2024-25). MUDRA loans are now offered in four categories: 'Shishu,' 'Kishore,' 'Tarun,' and the newly added 'Tarun Plus.'

Q6. Which of the following are the major objectives of governments engaged in the budgetary process in India? a. Stabilising the level of aggregate demand in the economy b. Redistributing incomes of people as per constitutional principles c. Floating schemes to appeal to citizens in a democratic way on a regular basis d. Allocating funds to various economic activities

A. Only a and b

B. All a, b, c and d

C. Only a, b and d

D. Only a, b and c

Solution: Only a and b. Through fiscal policy, the government aims to control inflation and stimulate demand when necessary, contributing to overall economic stability. Objectives of Government Budget: Reallocation of Resources. Reducing Regional Differences. Managing Public Enterprises. Bringing Economic Stability. Contributing to Economic Growth. Reducing Inequalities in Income and Wealth.

Q7. Which of the following initiatives of the Government of India promises 100 days of guaranteed wage employment to all the rural households who volunteer to do unskilled manual work?

A. Pradhan Mantri Garib Kalyan Rojgar Abhiyaan

B. Mahatma Gandhi National Rural Employment Guarantee Scheme

C. National Career Service

D. Pradhan Mantri Rojgar Protsahan Yojana

Solution: The Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) is a social security measure and labor law that aims to provide at least 100 days of wage employment to rural households in a financial year. The scheme was passed by the Government of India in 2005. Pradhan Mantri Garib Kalyan Rojgar Abhiyaan - 2020. Pradhan Mantri Rojgar Protsahan Yojana - 2016.

Q8. During one of the Five-Year Plans, which of the following politicians gave the slogan 'Garibi Hatao" ?

A. Giani Zail Singh

B. Indira Gandhi

C. Charan Singh

D. Morarji Desai

Solution: Indira Gandhi. Garibi hatao was the slogan of Indira Gandhi in the 1971 Election Campaign. Fifth Five-year plan (1974-1978): It was prepared by D.P Dhar. Target Growth - 4.4% . Actual Growth - 4.8%. Other initiatives - Indian National Highway System, Minimum Needs Programme etc.

Q9. Which of the following is more important to promote modernisation and overall prosperity of a country ?

A. Stable unemployment

B. Stable import

C. Stable employment

D. Stable export

Solution: Stable employment - ensures that a significant portion of the population has a steady income, which drives consumption, improves living standards, and supports economic growth. Employment stability also contributes to social stability, reducing poverty and inequality, and enabling people to invest in education, healthcare, and other essentials that are important for modernization.

Q10. Which of the following policy measures is a step towards liberalisation ?

A. Enhancing tariffs

B. Eliminating licenses for importing a majority of goods

C. Increasing requirements for bank reserves and restrictions on interest rates

D. Imposing limits on capital accumulation

Solution: Liberalization - The process of making policies less constraining of economic activity and also reduction of tariff or removal of non-tariff barriers. Privatization - The transfer of ownership of property or business from a government to a privately owned entity. Globalization - The expansion of economic activities across political boundaries of nation states. The policy of liberalization, privatization and globalization was announced as the New Economic Policy by the Prime Minister Narsimha Rao in 1991.

Q11. Recreation services are an example of _________.

A. consumer goods

B. capital goods

C. intermediate goods

D. inferior goods

Solution: consumer goods . Recreation services are provided directly to individuals for personal enjoyment or leisure, making them consumer goods. These are goods and services consumed by the end user rather than used for producing other goods. Capital goods are tangible assets such as buildings, machinery, and equipment used to produce consumer goods or services. Intermediate goods are products that are used in the production process to make other goods, which are ultimately sold to consumers. Inferior goods - whose demand decreases as the consumer's income increases.

Q12. What amount of 'Seed Capital' is provided as support to a Self-Help Group under the Pradhan Mantri Formalisation of Micro Food Processing Enterprises Scheme ?

A. ₹30,000

B. ₹50,000

C. ₹20,000

D. ₹40,000

Solution: ₹40,000 and purchase of small tools maximum upto 4 Lakhs per SHG. The PM FME Scheme was launched on 29th June, 2020 by the Ministry of Food Processing Industries, Government of India under the Aatmanirbhar Bharat Abhiyan. The scheme provides 50% financial grant for Branding and Marketing Support to groups of Farmer Producer Organization/ SHGs/ Cooperatives or a SPV of micro food processing enterprises to promote their existing or proposed brands to market their processed food products.

Q13. Who is the regulator of Micro Finance Institutions in India?

A. SEBI

B. RBI

C. NABARD

D. SBI

Solution: RBI (Reserve Bank of India) . Establishment - 1st April 1935. Headquarter - Mumbai . Functions of RBI : - It implements and monitors the monetary policy and ensures price stability, Manager of Foreign Exchange, Issuer of Currency, Financial Inclusion. SEBI (Securities and Exchange Board of India) - Established in 1988 as a non-statutory bo dy. NABARD (National Bank for Agriculture and Rural Development) - Established in 1982. SBI (State Bank of India) - Established on 1 July 1955.

Q14. Arrange the following Development Financial Institutions (DFI) in the correct chronological order, according to the year they were set up.

A. -(iii)-(ii)

B. -(i)-(ii)

C. -(1)-(iii)

D. -(ii)-(iii)

Solution: (iii)-(i)-(ii). Industrial Finance Corporation of India (IFCI) : Establishment - July 1948, Headquarter - New Delhi. Industrial Credit and Investment Corporation of India (ICICI) - 1994, Headquarters: Mumbai. Industrial Development Bank of India (IDBI): Establishment - 1 July 1964, Headquarters: Mumbai.

Q15. Why are wealth taxes and gift taxes treated as paper taxes in India?

A. It is not mandatory for the government to collect these taxes.

B. They do not generate much revenue in comparison to others.

C. Tax payers need to fill out forms only in paper and submit returns.

D. They are paid only by government employees, members of the Parliament and Legislative assemblies

Solution: Wealth taxes and gift taxes in India have limited scope and are difficult to collect effectively. Many wealthy individuals evade these taxes, and the revenue generated is much lower compared to taxes like income tax or GST. The Wealth-tax Act was introduced in 1957 but was abolished in 2016 due to its inefficiency. The Gift Tax was introduced in 1958 alongside other taxes like estate duty, but it also failed to generate substantial revenue.

Q16. Which of the following Acts was introduced to regulate Foreign Exchange in India in 1973?

A. FERA
B. FEMA
C. FRBM
D. SARFESI

Solution: FERA (Foreign Exchange Regulation Act) - It came into effect on 01 January 1974. This act was passed to regulate and monitor foreign securities and exchange transactions. It was repealed and replaced by a new law - the Foreign Exchange Management Act, 1999 (FEMA) with effect from June 1, 2000. F RBM - Fiscal Responsibility & Budget Management. SARFESI - The Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002.

Q17. As per the National Multidimensional Poverty Index 2021, which of the following groups of states is the poorest?

A. Punjab, Himachal Pradesh, Uttarakhand
B. Kerala, Karnataka, Tamil Nadu
C. Bihar, Uttar Pradesh, Jharkhand
D. Gujarat, Maharashtra, Telangana

Solution: Bihar, Uttar Pradesh, Jharkhand. India's multidimensionally poor declined by 9.89 percentage points, from 24.85% in 2015 -16 to 14.96% in 2019-2021. India ranked 66 out of 109 countries (in 2021). India's national MPI has three equally weighted dimensions – Health, Education, and Standard of living. Uttar Pradesh (UP), Bihar, Madhya Pradesh (MP), Odisha and Rajasthan recorded steepest decline in number of MPI poor.

Q18. What was the target growth rate of the Indian economy in the second five-year plan ?

A. 6.7%
B. 4.5
C. 2.8%
D. 5.4%

Solution: 4.5. Second Five Year Plan (1956 - 1961) stressed on heavy industries. It was based on the Mahalanobis Model. Five year Plans and Target Growth: First (1951 - 56) - 2.1% and It was based on the Harrod Domar Model. Third (1961 - 66) - 5.6%. Fifth (1974-79) - 4.4%. There were 2 Sixth Plans. Rolling Plan (1978 - 80), Sixth FYP (1980 - 85) - 5.2%. Seventh (1985 - 90) - 5.0%. Eighth (1992 - 97) - 5.6%. Ninth (1997- 2002) - 6.5%. Tenth (2002 - 2007) - 8%. Eleventh (2007-12) - 9%. Twelfth (2012-17) Prepared by Planning Commission of India.

Q19. As per Planning Commission of India, in 2004–05, the percentage of total population of India below poverty line (Lakadawala Poverty Estimates combined) was:

A. 38.86%
B. 27.5%
C. 44.48%
D. 35.97%

Solution: 27.5%. Poverty Estimation Committees in India: Alagh Committee (1979), Lakdawala Committee (1993), Tendulkar Committee (2009), Rangarajan Committee (2012).

Q20. If the government revenue expenditure exceeds revenue receipt, it is called:

A. revenue deficit
B. primary deficit
C. capital deficit
D. fiscal deficit

Solution: revenue deficit. Primary Deficit - refers to the difference between the government's total fiscal deficit and the interest payments on its previous year borrowings. Fiscal deficit - It is the difference between the government's total expenditu re and its total revenue receipts. Capital receipts are the receipts of the government that either create a liability or cause a reduction in the assets of the government.

Q21. 'BFSI' stands for Banking, Financial Services and_________ in India. It is a broad term for industries that offer financial products and services.

A. Inflation
B. Investment
C. Insurance
D. Index Fund

Solution: Insurance . (BFSI) is an undergraduate level course. The Certified BFSI Professional course is 187 hours E-learning program spread over three semesters. Some Organizations related to Banking: Punjab National Bank (PNB) - (1894), HDFC Bank - (1994), ICICI Bank - (1994), Reserve Bank of India (RBI) - (1935), National Bank for Agriculture and Rural Development (NABARD) - (1982), Small Industries Development Bank of India (SIDBI) - (1990).

Q22. PC Mahalanobis is remembered as a major contributor of India's developmental path because he ______. (A) set up Indian Institutes of Management located in different parts of India (B) formulated the Second Five-Year Plan (C)was the first Minister of Statistics and Programme Implementation

A. Only (A) and (C) are true
B. Only (B) is true
C. Only (A) and (B) are true
D. Only (A) is true

Solution: Only (B) is true. The Second five-year plan was based on the Mahalanobis model, an economic development model developed by the Indian statistician Prasanta Chandra Mahalanobis in 1953. PC Mahalanobis established the Indian Statistical Institute (ISI) in Calcutta in 1931 and for the same reason, he is known as the father of Indian Statistics. He was a member of the first Planning Commission of free India.

Q23. Which of the following is NOT associated with the Industrial Policy Resolution, 1956?

A. Regional equality was promoted.
B. A system of licenses for the private sector was introduced.
C. It classified industries into three categories.
D. It formed the basis of the Third Five Year Plan.

Solution: The Industrial Policy Resolution, 1956 formed the basis for the Second Five Year Plan, which aimed to build the foundation for a socialist pattern of society. IPR was the first comprehensive statement on India's industrial development.

Q24. The Second Five - Year Plan (1956 - 61) had a major goal of achieving which of the following targets?

A. Self-reliant and self-generating economy
B. Growth with stability
C. Rapid industrialisation with focus on heavy industries
D. Growth with social justice

Solution: Rapid industrialisation with focus on heavy industries. Five Year Plan in India : Aim - To Promote economic growth, social welfare, poverty reduction, regional balance and self-reliance in a planned and systematic manner. First Five y ear Plan (1951-1956) Presented by first PM Jawahar lal Nehru. Growth with social justice and Equality- 9th five-year plan (1997-2002). Growth with stability - Fourth Five Year Plan (1969-1974). Self-reliant and self-generating economy - Third five-year plan (1961-1966).

Q25. The Pradhan Mantri Rojgar Yojana was started during the ________.

A. Ninth Five Year Plan
B. Eighth Five Year Plan
C. Seventh Five Year Plan
D. Tenth Five Year Plan

Solution: Eighth Five Year Plan (1992-97) : Objective - Modernization of the industrial sector. Pradhan Mantri Rozgar Yojana (PMRY) : launched in 1993, it aims to provide self-employment opportunities to educated youth and women. Five Year Plans and Objectives : Seventh Five Year Plan (1985–90) - Improving Industrial productivity levels through the use of technology, increasing the production of food grains. Ninth Five Year Plan (1997-2002) - Empowering socially disadvantaged classes, developing self-reliance and primary education for al l children in the country. Tenth Five Year Plan (2002-2007) - Promote inclusive growth and equitable development.

Q26. Where does the cash grants in aid from foreign countries are classified?

A. Tax revenue
B. Non-tax revenue
C. Revenue expenditure
D. Capital receipt

Solution: Non-tax revenue. Cash grants-in-aid from foreign countries are financial resources that a government receives which are not derived from taxes. These grants are often provided by other countries or international organizations for specific purposes, such as development assistance, humanitarian aid, or projects. Examples of Non-Tax Revenue: Examination Fees, Dividends and Profits, and Police Services Fees.

Q27. The committee headed by Radhakrishna recommended_________

A. The initiation of Regulatory Policy for Microfinance Institutions
B. The creation of Project EShakti
C. the initiation of the National Rural Livelihood Mission
D. the creation of RRBs

Solution: RadhaKrishnan - Chairman of University Education Commission (Radhakrishnan Commission). The initiation of the National Rural Livelihood Mission - Launched 2011. Objective - R ural Development. Organisation - Ministry of Rural Development. Other Rural Development Programme - The Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), The Rastriya Sama, Vikas Yojana (RSVY), The Indira Awas Yojana (IAY).

Q28. The financial year in India starts from 1st April and ends on______

A. 31st May
B. 30th June
C. 31st March
D. 31st July

Solution: 31st March. A financial year, also known as a fiscal year, is a 12-month period used by governments, businesses, and organizations for accounting and financial reporting purposes.

Q29. An annual statement of the estimated receipts and expenditure of the government over the fiscal year is known as _________.

A. Income sheet
B. Plan
C. Account
D. Budget

Solution: Budget : Article 112 - Annual financial statement. Financial year of India - 1 April to 31 March. First Union Budget of Colonial India was presented in the year 1860 by James Wilson, who was a Scottish economist and politician. First Union Budget of independent India was presented by R. K. Shanmukham Chet ty on 26th November 1947. Union Budget (2021-22) - First paperless budget presented by Finance Minister Nirmala Sitharaman. Uttar Pradesh - First Indian state to present a paperless budget (2021).

Q30. Which of the following is NOT an example of public goods ?

A. National defence
B. Driveway at our home
C. Law enforcement
D. Access to clean air

Solution: Driveway at our home. Public goods are defined by two characteristics : Non-excludability - No one can be excluded from using the goods. Non-rivalry - One person's use of the goods does not reduce its availability for others. A private good is a product or service that is purchased by an individual or entity and is consumed by that individual or entity.

Q31. Air and National Defence are examples of which of the following goods?

A. Public goods
B. Common goods
C. Club goods
D. Private goods

Solution: Public goods are resources that are available to everyone, and can be used without reducing their availability to others. Public goods are characterized by non-excludability (no one can be excluded from using them) and non-rivalry (one person's use does not reduce availability to others). Air (as a clean resource) and National Defence are examples of public goods because they are available for everyone to use, and their consumption by one individual does not diminish their availability to others.

Q32. Which of the following is NOT a function of money?

A. Medium of exchange

B. Problem in storage

C. Measure of value

D. Standard of deferred payments

Solution: Problem in storage. Money - A system of value that facilitates the exchange of goods in an economy. The central authority (In case of India, RBI) is responsible for monitoring the monetary system. Characteristics of Money : Durable, Easily recognizable, Stability, Portable. Functio ns of Money : Store of value, Distribution of social income, Basis of Credit Creation, Liquidity. Types of Money : Market Determined Money, Fiat Money and Legal Tender, Cryptocurrencies.

Q33. Which of the following programmes is taken up by the Government of India for improvement of female literacy rates in India?

A. Beti Bachao, Beti Padhao

B. Beti Shikshan, Beti Bachao

C. Beti Sikhao, Beti Padhao

D. Beti Jagaron, Beti Padhao

Solution: Beti Bachao, Beti Padhao (BBBP) was launched by the Prime Minister on 22nd January, 2015 at Panipat (Haryana), to address the issues of female infanticide, child sex ratio, and to promote the education and empowerment of girls. Programs to improve female literacy rates: Saakshar Bharat (2009), ULLAS - Nav Bharat Saaksharta Karyakram (2022), Samagra Shiksha (2018).

Q34. Wh ich of these is NOT part of the classification of economic activities carried out in an economy?

A. Production

B. Consumption

C. Distribution

D. Law and order

Solution: Law and order: A situation in which laws are obeyed, and people behave in an organized and peaceful way. Production: The process in which various inputs, such as land, labor, and capital, are used to produce the outputs in the form of products or services. Consumption: The act of using resources to satisfy current needs and wants. Distribution: The economic activity which studies how income generated from the production process is distributed among the factors of production.

Q35. The consumption of fixed capital is also known as _________.

A. depreciation

B. net investment

C. appreciation

D. gross investment

Solution: depreciation - means loss of fixed assets overtime due to wear and tear. The most common types of depreciation methods include straight- line, double declining balance, units of production, and sum of year s digits. Fixed capital consists of assets that are not consumed or destroyed in the production of a good or service and can be used multiple times. Appreciation - The rise in the value of an asset, such as currency or real estate. Net investment - The tot al amount of money that a company spends on capital assets, minus the cost of the depreciation of those assets. Gross investment - The total expenditure or investment that is made by a company to acquire capital goods.

Q36. In which year did the Government of India bring FRBM (Fiscal Responsibility and Budget Management) Act into eff ect ?

A. 2015-16

B. 2012-13

C. 2004-05

D. 2008-09

Solution: 2004-05. The Fiscal Responsibility and Budget Management (FRBM) Act 2003 envisages the setting of limits on the Central government's debt and deficit.The Centre and states are mandated to reduce their fiscal deficit to 3 percent of GDP . The main objectives - Implementi ng transparent fiscal management systems in the country, ensuring equitable distribution of credit over the years and long-term macroeconomic stability.

Q37. While using the income method to compute national income, which of the following is NOT to be included? (A) Income from lottery (B) Bro kerage on sale and purchase of shares (C) Income from illegal activities like gambling

A. A, B and C

B. B and C

C. A and B

D. A and C

Solution: A and C. National Income : The complete value of the goods and services produced by any country during its financial year. It is Net National Product (NNP) at Factor Cost (FC). It does not include taxes, depreciation and non-factor inputs (raw materials). Domestic Income - Total va lue of final goods and services produced within a domestic territory during an accounting year.

Q38. What is the main objective of Fiscal Responsibility and Budget Management Act (FRBMA), 2003?

A. To increase exports

B. To increase excise duty

C. To reduce fiscal deficit

D. To reduce subsidies

Solution: To reduce fiscal deficit. The Fiscal Responsibility and Budget Management (FRBM) Act is a law enacted by the Government of India in 2003 to ensure fiscal discipline – by setting targets including reduction of fiscal deficits and elimination of revenue deficit. Enacted - 26 August 2003. Introduced by - Mr.Yashwant Sinha.

Q39. Recoveries of loans and advances, borrowings, are an example of __________ .

A. non-tax receipts

B. capital receipts

C. revenue receipts

D. tax receipts

Solution: capital receipts: Those receipts which either create liabilities or reduce the asset value of the government. Revenue receipts: Receipts that neither reduce the assets of the organization nor create any liability on the government. Non-tax receipts: The recurring income earned by the government from sources other than taxes. Tax receipts: The total receipts from taxes or other government duties.

Q40. Final goods are divided into:

A. raw materials and semi-finished goods

B. single goods and composite goods

C. consumption goods and capital goods

D. W ar goods and civilian goods

Solution: Consumption goods - Directly used for the satisfaction of human wants and not used later to produce another consumer good. Example - Food, Beverages, Clothing, Vehicles. Capital goods - Assets used by businesses in the course of producing produc ts and services for consumers. Example - Buildings, Machinery, Vehicles. Intermediate Goods - Ingredients of goods used by businesses for producing goods or services. Examples - Oil, Steel, Sugar.

Q41. Which of the following is NOT an example of manufacturing activity ?

A. Paper made from wood

B. Mutual fund products made by combining debt and equity funds

C. Yarn made from cotton

D. Sugar made from sugarcane

Solution: Mutual fund products made by combining debt and equity funds come under the Tertiary sector of Economy. Tertiary sectors itself do not produce goods but they are an aid or a support to the primary and secondary sectors. Manufacturing activity comes under the secondary sectors, Example - Production of paper, sugar, yarn etc. Primary sector - Directly uses natural resources. Example - Agriculture, Mining, Fishing, Forestry.

Q42. Which of these is NOT a characteristic of durable goods?

A. They are capable of repetitive use.

B. They are not extinguished by immediate consumption.

C. They are meant for repet itive purchases.

D. They have a relatively long life.

Solution: They are meant for repetitive Purchases. Durable goods (Consumer durables) : Those products that are used repeatedly over a period of time. The life of these products is high and the price pa id to possess these products are also high. Example - Refrigerators, air conditioners, tools, computers, televisions, jewelry, home and office furnishings. Non - Durable goods : These goods have a shelf life of less than three years and many can be recycle d. Example - Milk, vegetables, meat, fruit, paperboard, books, magazines and towels.

Q43. Which financial products are commonly offered by Microfinance Institutions in India?

A. Complex investment options

B. Savings, credit and insurance services tailored for low-income individuals

C. Specialised services for multinational corporations

D. Exclusive services for high-income individuals

Solution: Microfinance Institutions (MFIs) in India primarily focus on offering financial products and services aimed at low-income households to promote financial inclusion. These services include: Credit - Providing small loans (microloans) for income-generating activities or emergencies. Savings - Offering savings accounts with low minimum balance requirements. Insurance - Providing life, health, or crop insurance at affordable premiums to mitigate risks.

Q44. Which of the following statements is correct about the Five-Year Plan?

A. All Five-Year Plans have equal rates of growth.

B. The President was the ex-officio chairperson of the Planning Commission.

C. The first Five-Year Plan was started in 1951.

D. The Planning Commission was constituted in 1951.

Solution: The Planning Commission was constituted in 1950, and the first Five-Year Plan began in 1951. Based on recommendations from KC Neogy's advisory board, the commission formulated India's Five-Year Plans, with the Prime Minister as its chairman and Gulzarilal Nanda as the first deputy chairman. It was headquartered at Yojana Bhawan, New Delhi, and its concept was inspired by the Russian model introduced by Joseph Stalin.

Q45. Which of the following statements is correct about the value of money? I. It is directly related to the price level. II. It is not related to the price level. III. It is indirectly related to the price level.

A. None of the statements are correct

B. Only II is correct

C. Only III is correct

D. Only I is correct

Solution: Money is the commonly accepted medium of exchange. Functions - Unit of Account (Monetary unit that can be used to value goods and services), Store of Value (Acceptable to everyone at any time). Money Sup ply and Prices of goods are directly Proportional. Price level and value of money is inversely proportional.

Q46. Consider the following statements about unemployment in India: Seasonal unemployment is mainly found in urban areas. Educated unemployed people are mainly found in rural areas of India. Higher cropping inten sity is desirable for reducing unemployment in the rural economy . Which of the given statements is/are correct?

A. Only c

B. Only b and c

C. Only a and b

D. Only a

Solution: Only c . Unemployment - When a person who is actively searching for employment is unable to find work, Used as a measure of the health of the economy. Seaso nal unemployment describes a situation where workers are unemployed at certain times of the year when demand has decreased. Structural Unemployment - It is a long-lasting unemployment that occurs when there is a mismatch between the skills of the unemploye d workers and the skills needed for the available jobs. Frictional unemployment (Short term) - The time lag between the jobs when an individual is searching for a new job or is switching between the jobs. Cyclical unemployment - When there is not enough ag gregate demand in the economy to provide jobs for everyone.

Q47. The Reserve Bank of India was fully nationalised and owned by the Government of India in which of the following years?

A. 1948
B. 1947
C. 1949
D. 1950

Solution: 1949 (1 January). The Reserve Bank of India, abbreviated as RBI, is India's central bank and regulatory body responsible for regulation of the Indian banking system. It commenced its operations on 1 April 1935 in accordance with the Reserve Bank of India Act, 1934. Sir Osborne Smith was the first Governor of the Reserve Bank. Chintaman Dwarkanath Deshmukh was the first Indian Governor of the Bank. Headquarters - Mumbai. Established - 1 April 1935.

Q48. What is the balance of trade of a country?

A. Ratio of international trade
B. Number of imports
C. Difference between imports and exports
D. Number of exports

Solution: Difference between imports and exports . The Balance of Trade (BoT) is the difference between a country's exports and imports over a specific period, typically a year. Conditions of BoT : (i) If exports > imports, the country has a trade surplus (positive balance). (ii) If imports > exports, the country has a trade deficit (negative balance).

Q49. Which of the following is referred to as 'Near Money'?

A. Coins
B. Currency notes
C. National savings deposits
D. Bank money

Solution: National savings deposits. 'Near money' refers to assets that are not in the form of cash but can easily be converted into cash or used for transactions. Other examples of near money : Savings accounts, Certificates of deposit (CDs), Foreign currencies, Money market accounts, Marketable securities, Treasury bills (T-bills). At the same time, assets such as Gold and silver are more liquid and sometimes called near money.

Q50. According to the National Crime Records Bureau data, from 2016 to 2019, suicide cases due to unemployment have increased by ______.

A. 24%
B. 20%
C. 18%
D. 21%

Solution: 24%. In 2019, the National Crime Records Bureau (NCRB) reported 2,851 suicides linked to unemployment in the country. Karnataka recorded the highest number with 553 cases, followed by Maharashtra with 452 and Tamil Nadu with 251. The NCRB is an Indian government agency responsible for collecting and analyzing crime data. Established in 1986 and headquartered in New Delhi, it operates with the motto 'Empowering Indian Police with Information Technology.'

Q51. The general target of the monetary policy is to ensure ___________. A) price stability in the economy B) greater tax collections for the government C) emplo yment generation in the rural areas

A. Both B and C
B. Only C
C. Both A and B
D. Only A

Solution: Only A. Monetary policy - Actions and strategies adopted by a central bank to control the money supply, interest rates, and credit availability in an economy, aiming to achieve stable prices and sustainable economic growth. The RBI implements the monetary policy through open marke t operations, bank rate policy, reserve system, credit control policy. Greater tax collections for the government and employment generation in the rural areas are objectives of fiscal policy .

Q52. Correctly match the following.

A. 1 - c, 2 - b, 3 - a
B. 1 - b, 2 - c, 3 - a
C. 1 - b, 2 - a, 3 - c
D. 1 - a, 2 - b, 3 - c

Solution: 1 - b, 2 - a, 3 - c. Public sector companies are owned by the government like NTPC Limited, Power Grid Corporation of India, Steel Authority of India Limited etc. Private sector companies are owned by individuals or private groups like Infosys, Wipro, etc. Joint sector industries are owned and operated by the state and individuals or a group of individuals. Maruti Udyog Limited is the example of the joint sector industry.

Q53. As compared to monopolistic competition, the demand curve in a monopoly is:

A. more elastic
B. equally elastic
C. infinitely elastic
D. less elastic

Solution: less elastic. In a monopoly, there is only one seller and no close substitutes for the product. Because of this, the demand curve is less elastic than in monopolistic competition, where there are many sellers and close substitutes for the product.

Q54. India launched the 'National Social Assistance Programme' in:

A. 2000
B. 1995
C. 1985
D. 1990

Solution: 1995. The National Social Assistance Programme (NSAP) was launched on 15th August 1995. Administered by the Ministry of Rural Development, it is a welfare programme aimed at providing social assistance benefits to poor households in cases of death, maternity, or old age of the breadwinner.

Q55. Machines, tools a nd implements, and buildings are examples of which type of goods?

A. Consumer goods
B. Inferior goods
C. Intermediate goods
D. Capital goods

Solution: Capital goods - Physical assets which a company uses to produce goods and services for consumers. Consumer goods : Products bought for consumption by the average consume r. Examples : food, clothing, vehicles, electronics, and appliances. Inferior goods : An item that is often a substitute product whose demand drops when people's income increases. Example - instant noodles, frozen dinners, and canned goods. Intermediate go ods : Goods that are used by businesses for producing goods or services. Examples : wheat, soil, crude oil, steel, sugar.

Q56. Which of these is one of the fall out of the indust rial licensing system?

A. Large industrial houses availed licenses to prevent competition
B. Most licenses were used up by backward states
C. Most licenses were for importing goods
D. Many small private firms appropriated licenses

Solution: 1 1.(a). The Industrial licensing had been abolished for all projects except for a short list of industries through the amendments in NIP (New Industrial Policy) in the year 1991. Industrial Polic y, 1991 : The new policy contained policy directions for reforms and thus for LPG (Liberalisation, Privatisation and Globalisation). With the exception of three industrial sectors, it expanded the scope of private sector involvement.

Q57. Expenditure of the government on health facilities, education and fixed-asset acquisition is termed as __________.

A. revenue expenditure
B. non-plan revenue expenditure
C. capital expenditure
D. plan expenditure

Solution: Capital expenditure: It involves the spending of government funds on the acquisition of assets that have long-term value and contribute to the overall development of the country. Revenue expenditure: It refers to the government's spending on day-to-day operational costs and current expenses such as salaries, wages, interest payments, and subsidies.

Q58. Fisher's quantity theory is explained by his famous equation given as__________.

A. MP = VT
B. MV = PT
C. MT = PV
D. PV = MV

Solution: MV = PT. Fisher Equation states that the nominal interest rate is equal to the sum of the real interest rate plus inflation. It lies at the heart of the Quantity Theory of Money. MV=PT, where M = Money Supply, V= Velocity of circulation, P= Price Level, and T = Transactions.

Q59. If there is a fall in the demand of a good, the equilibrium price is expected to:

A. first rise, and then fall sharply
B. fall
C. Rise
D. neither fall nor rise

Solution: fall. When demand falls, it means consumers are willing to buy less of the goods at any given price, which naturally pushes the price downwards to reach a new equilibrium point where quantity demanded equals quantity supplied. Demand: The quantity of a good or service that consumers can purchase at various prices. Supply: The quantity of a good or service that producers can offer for sale at various prices. Equilibrium Price: The price at which the quantity demanded by consumers equals the quantity supplied by producers.

Q60. Which five year plan in India is referred to as the Mah alanobis Plan ?

A. 4th Five Year Plan
B. 2nd Five Year Plan
C. 1st Five Year Plan
D. 3rd Five Year Plan

Solution: 2nd Five Year Plan (1956-1961) - Focussed on rapid industrialisation and the public sector. Five Year Plans - 1 s t (1951-56) - Based on the Harrod Domar Model, Improvement in agrarian sector, includin g investment in dams and irrigation. 3 r d (1961-66) - Based on Gadgil formula, The focus was on agriculture and improvement in the production of wheat. 4 t h (1969-74) - Stressed upon self-reliance, 14 major Indian Banks nationalized.

Q61. The five-year plans for India with their duration are given below. Which of the following is correctly matched?

A. Both b and c
B. Both a and b
C. Both a and c
D. Only a

Solution: Both a and b. The First Five-Year Plan was launched in 1951. The Second Plan (1956-1961), known as the Mahalanobis Plan, had a target growth rate of 4.5% and achieved 4.3%. The Third Plan (1961-1966) aimed to make the economy self-sufficient. Due to the Indo-China war, Indo-Pakistan war, and severe droughts, a "Plan Holiday" was observed from 1966 to 1969. The Fourth Plan (1969-1974), under Indira Gandhi, focused on growth and included Family Planning Programmes.

Q62. What is the name of the Comprehensive Household Survey providing labor force statistics in India, which was first conducted in 1955 ?

A. Area Frame Establishment Survey (AFES)
B. Periodic Labour Force Survey (PLFS)

C. Quarterly Employment Survey (QES)
D. Employment-Unemployment Survey (EUS)

Solution: Employment-Unemployment Survey (EUS) is the most comprehensive survey providing labor force statistics in India. It was first conducted in the 9th round of the National Sample Survey (NSS) in 1955. The current format of quinquennial surveys started in the 27th round in 1972-73, based on the M. L. Dantwala Committee Report.

Q63. In Which year did the Ministry of Health and Family Welfare of India launch the Weekly Iron and Folic Acid Supplementation (WIFS) program to meet the challenge of high prevalence and incidence of anaemia among adolescent girls and boys (56% girls and 30% boys) ?

A. 2014
B. 2013
C. 2011
D. 2012

Solution: 2012. WIFS: Objective - To reduce the prevalence and severity of nutritional anaemia in adolescent population (10-19 years). Health Schemes/Programme related to child: Expanded programme on Immunization (1978), it was renamed as Universal Immunization programme in 1985. Rashtriya Bal Swasthya Karyakram (2013), Janani Shishu Suraksha Karyakram (2011), Mission Indradhanush (2014).

Q64. Which of the following taxes is proportional in nature ?

A. Corporation Tax
B. Capital Gains Tax
C. Goods and Service Tax
D. Income Tax

Solution: Goods and Service Tax (GST): It is an indirect tax that came into force on 1st July 2017. Direct tax - It is paid by a person or organization directly to the entity that imposed the tax. Examples - Income tax, Property tax, and Corporation Tax. Capital gains tax is levied on the profit obtained from the sale of a capital asset, such as stocks or real estate. A proportional tax is a tax system that levies the same percentage tax to everyone regardless of income.

Q65. The liability to pay the tax and the actual burden of which of the following taxes lie on two different persons?

A. Goods and Services Tax
B. Corporation Tax
C. Capital Gains Tax
D. Income Tax

Solution: Goods and Services Tax - It is a value-added tax (VAT) levied on most goods and services sold for domestic consumption. Corporation Tax - A tax on the profits or net income of a corporation. Capital Gains Tax - It is the levy on the profit that an investor makes when an investment is sold. Income Tax - It is a levy imposed on individuals (or family units) and corporations. It is usually classified as a direct tax because the burden is presumably on the individuals who pay it.

Q66. Mohammad Yunus established which of the following banks in 1983?

A. Grameen Bank
B. Indian Bank
C. Union Bank
D. State Bank

Solution: Grameen Bank's objective is to provide small loans, known as micro-credit, to poor people on easy terms. Muhammad Yunus and Grameen Bank were awarded the Nobel Peace Prize for 2006 for their work to "create economic and social development from below".

Q67. National Urban Livelihood Mission (NULM) was launched in which of the following Five Year plans?

A. Sixth Five Year Plan
B. Eighth Five Year Plan
C. Tenth Five Year Plan
D. Twelfth Five Year Plan

Solution: Twelfth Five Year Plan. The National Urban Livelihood Mission (NULM) was launched in 2013 during the Twelfth Five Year Plan (2012-2017) by the Ministry of Housing and Urban Affairs. It aims to reduce poverty and vulnerability of urban poor households by enabling them to access gainful employment and self-employment opportunities. The Sixth Five Year Plan (1980-1985) focused on increasing national income and reducing unemployment. The Eighth Five Year Plan (1992-1997), led by P.V. Narasimha Rao, introduced significant economic reforms and liberalization. The Tenth Five Year Plan (2002-2007) prioritized social development, targeting reductions in gender disparities, infant and maternal mortality rates, and improving access to basic amenities.

Q68. ___________ 2005 is referred to as the 'Right to Work' as it guaranteed 100 days of employment in a year by the Indian Government to people who are in need of and who are able to do work.

A. Mahatma Gandhi National Rural Employment Guarantee Act
B. Mahatma Gandhi Regional Employment Guarantee Act
C. Mahatma Gandhi Rural Employment Act
D. Mohan Gandhi Regional Guarantee Act

Solution: Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA): It was officially launched on 2 February 2006. Other schemes of central government: Pradhan Mantri Shram Yogi Maan-Dhan (PM-SYM) (2019), Pradhan Mantri Vaya Vandana Yojana (2017), Atal Pension Yojana (2015), Coir Udyami Yojana (2023), Deendayal Antyodaya Yojana- National Rural Livelihood Mission (2011).

Q69. Which of the following items is NOT a part of the non-plan revenue expenditure of the government budget ?

A. Salaries and pensions
B. Subsidies
C. Defence services
D. Central assistance for states and union territories

Solution: Non-plan revenue expenditure : It is accounted for by interest payments, subsidies (mainly on food and fertilisers), wage and salary payments to government employees, grants to States and Un ion Territories governments, pensions, police, other general services such as tax collection, social services. Non-plan capital expenditure : It includes defence, loans to public enterprises, loans to States, Union Territories and foreign governments.

Q70. Who is the founder of modern micro finance ?

A. Muhammad Yunus

B. Rangarajan

C. YV Reddy

D. VKV Rao

Solution: Muhammad Yunus . Microfinance is a banking service that is provided to low-income individuals who have no other means of gaining financial services. Muhammad Yunus is a Bangladeshi economist, was awarded the Nobel Peace Prize in 2006 for founding the Grameen Bank (Founded - 1976, Dhaka, Bangladesh) and pioneering the concepts of microcredit and microfinance.

Q71. In which industrial policy was the investment limit for a tiny industry/unit increased to ₹ 2 lakh?

A. 1977

B. 1991

C. 1980

D. 1956

Solution: 1980 . Industrial Policy 1980 : This Policy focused on the promotion of economic federation and restoration of the Monopolies and Restrictive Trade Practices (MRTP) Act. Some other Industrial policies (IPs): IP, 1948 - It ushered in a mixed economic model in the country. IP, 1956 - Three schedules were laid out for the classification of industries. IP, 1977 - The Policy's main emphasis had been the propagation of cottage and small industries. IP, 1991 - Foreign Direct investment allowed, Amendment of the Monopol ies and Restrictive Trade Practices (MRTP) Act. The main goals of the New Industrial Policy (1991) were: L - Liberalization, P - Privatization, G - Globalisation.

Q72. The five-year plans in India laid down not only specific objectives to be attained in the five years of a plan, but also what was to be achieved over a period of 20 years. This long-term plan is called a _________ .

A. perpetual plan

B. two-decade plan

C. twenty-year plan

D. perspective plan

Solution: Perspective plan. The Idea of Planning as a process of rebuilding the economy gained prominence in the 1940s-50s. Joseph Stalin was the first person to implement the Five-Year Plan in the Soviet Union in 1928. The model of the Indian Economy was premised on the concept of planning based on five-year plans from 1951-2017. The Five Year Plans were formulated, implemented and regulated by a body known as the Planning Commission. The Planning Commission was replaced by a think tank called NITI AAYOG in 2015.

Q73. Which of these statements is correct?

A. The economic wealth of a country does not necessarily depend on the possession of resources.

B. Countries endowed with natural resources are naturally the richest countries.

C. The national income of a country is the total of all its resources.

D. Whether resources are used in generating a flow of output and as a result, income and wealth, is immaterial.

Solution: National income accounting : Referred to as the methods and principles that are used for measuring the income earned by a country in a particular financial year. Measures of determining national income - GDP (Gross Domestic Product), GNP (Gross National Product), and NNP (Net Nation al Product) along with other measures such as personal income and disposable income.

Q74. MUDRA is a financial institution set up by the Government of India for the development and refinancing of micro unit enterprises. The full form of MUDRA is:

A. Micro Urban Development & Refinance Agency

B. Micro Units Development & Refinance Agency

C. Micro Finance Usage Development & Refinance Agent

D. Medium Units Development & Refinance Agency

Solution: Micro Units Development and Refinance Agency (MUDRA). Pradhan Mantri Mudra Yojana (PMMY) launched on 8th April 2015 for providing loans up to 10 lakh to the non-corporate, non-farm small/micro enterprises. Loans provided: Shishu - upto 50,000, Kishor - 50,000 to 5 lakh, Tarun - 5 lakh to 10 lakh.

Q75. When did the first Five-Year Plan end?

A. December 1955

B. January 1956

C. March 1956

D. February 1956

Solution: March 1956. The First Five-year Plan was launched in 1951 which mainly focused on the development of the primary sector. It is based on the Harrod- Domar Model. The motto of the first five years plan was ' Development of agriculture'. The plan aimed to achieve 2.1 % growth rate and the achieved growth rate was 3.6%.